

COMMERCIAL OFFICE LEASE AGREEMENT

Office Premises — ASC 842 / US GAAP

- LANDLORD:** Austin Tech Campus LLC, a Texas limited liability company with offices at 901 South MoPac Expressway, Austin, TX 78746
- TENANT:** Horizon Software Inc., a Delaware corporation qualified to do business in Texas, with its principal place of business at 901 South MoPac Expressway, Building 3, Suite 400, Austin, TX 78746
- PREMISES:** 901 South MoPac Expressway, Building 3, Suite 400, Austin, TX 78746 — Fourth Floor, comprising approximately 6,200 square feet of office space
- STANDARD:** This Lease is governed and reported under **ASC 842 — Leases (US GAAP)** as adopted by the Tenant for its financial reporting under United States Generally Accepted Accounting Principles.

RECITALS

WHEREAS, Landlord is the owner of the office complex known as Austin Tech Campus located at 901 South MoPac Expressway, Austin, Texas; and

WHEREAS, Tenant desires to lease office space at Building 3, Suite 400 for use as its Austin headquarters; and

WHEREAS, this Lease is subject to the accounting requirements of ASC 842 — Leases as promulgated by the Financial Accounting Standards Board (FASB) under US GAAP, and the parties have structured certain provisions hereof with reference to those requirements;

NOW, THEREFORE, the parties agree as follows:

§1 — Definitions

"Commencement Date" — means January 1, 2025.

"Expiry Date" — means December 31, 2027.

"Initial Term" — means three (3) years commencing on the Commencement Date and expiring on the Expiry Date.

"Premises" — means Suite 400, Building 3, Fourth Floor, comprising approximately 6,200 square feet of office space at 901 South MoPac Expressway, Austin, TX 78746.

"Base Rent" — means USD \$180,000 per annum, payable in equal monthly instalments of USD \$15,000.

"Security Deposit" — means USD \$30,000 as described in §6.1.

"ASC 842" — means ASC 842 — Leases as issued by the Financial Accounting Standards Board, effective for annual periods beginning after December 15, 2018.

§2 — Premises and Lease Term

§2.1 Lease Term

The Landlord hereby leases to the Tenant the Premises for an Initial Term of **three (3) years**, commencing on **January 1, 2025** (the "Commencement Date") and expiring on **December 31, 2027** (the "Expiry Date"). This Lease shall automatically terminate on the Expiry Date unless renewed or extended by mutual written agreement.

§2.2 Description of Premises

The Premises consist of **Suite 400** located on the **Fourth Floor of Building 3** at **901 South MoPac Expressway, Austin, TX 78746**, comprising approximately **6,200 rentable square feet** of open-plan and private office space, conference rooms, and reception area. The Premises include access to shared lobby, parking (2.5 spaces per 1,000 square feet), and building amenities.

§3 — Renewal Options

§3.1 No Renewal Options

This Lease does not contain any option to renew or extend the Initial Term. Upon expiry of the Initial Term on December 31, 2027, this Lease shall terminate automatically. Any continuation of the Tenant's occupancy after the Expiry Date shall be on a month-to-month basis at a rent to be agreed in writing, and either party may terminate such holding-over arrangement upon thirty (30) days' written notice.

§4 — Use of Premises

The Tenant shall use and occupy the Premises solely for general office, administrative, software development, and technology business purposes. No retail, manufacturing, or industrial activities shall be conducted in the Premises. The Tenant shall comply with all applicable laws, building rules, and regulations governing the Premises.

§5 — Rent

§5.1 Base Rent

The Tenant shall pay to the Landlord as Base Rent the annual sum of **USD \$180,000**, payable in equal monthly instalments of **USD \$15,000** each, due and payable in advance on the first day of each calendar month throughout the Initial Term. All payments shall be made by bank wire transfer or ACH to the Landlord's designated account.

§5.2 Payment Schedule

The first month's rent shall be payable on the Commencement Date. Subsequent rent payments are due on the first day of each month. Payments not received within five (5) business days shall attract a late fee of 5% of the monthly rent amount. The Landlord shall provide invoices for any adjustments to the Base Rent at least thirty (30) days prior to the effective date of such adjustment.

§5.3 Rent Escalation

Commencing on **January 1, 2026** and thereafter on **January 1, 2027**, the Base Rent shall be increased by **3% per annum** effective on each such January 1st date. The escalation is cumulative and applies to the then-current Base Rent. For the avoidance of doubt: Year 1 (2025) Base Rent =

\$180,000; Year 2 (2026) Base Rent = \$185,400 (3% increase effective January 1, 2026); Year 3 (2027) Base Rent = \$190,962 (3% increase effective January 1, 2027).

§6 — Security Deposit

§6.1 Security Deposit

Upon execution of this Lease, the Tenant shall deposit with the Landlord the sum of **USD \$30,000** as a security deposit to secure Tenant's performance of all obligations under this Lease. The Security Deposit shall be held in a separate interest-bearing account. The Security Deposit (less any lawful deductions) shall be returned within thirty (30) days of the expiration or earlier termination of this Lease and surrender of the Premises by the Tenant. For ASC 842 purposes, this deposit is a refundable financial asset and shall not be included in lease payments.

§7 — Operating Costs and ASC 842 Accounting Provisions

§7.1 Right-of-Use Asset

The parties acknowledge that this Lease is subject to ASC 842 — Leases for the Tenant's US GAAP financial reporting. The Tenant shall recognise a right-of-use (ROU) asset and corresponding lease liability on its balance sheet as of the Commencement Date. The leased asset subject to ASC 842 recognition is **Suite 400, Building 3, Fourth Floor, 6,200 square feet**, at **901 South MoPac Expressway, Austin, TX 78746**.

§7.2 Discount Rate

Tenant shall determine the applicable discount rate in accordance with ASC 842-20-30, using the rate implicit in the lease if readily determinable, or otherwise the Tenant's incremental borrowing rate. No rate is specified herein. The Landlord makes no representation as to the rate implicit in the lease. The Tenant is solely responsible for determining and documenting the appropriate discount rate in accordance with ASC 842-20-30-2 through ASC 842-20-30-3. The absence of a specified rate in this Lease should not be construed as an omission of a material term.

§7.3 Premises Detail for ASC 842

For ASC 842 asset identification: the leased asset is a commercial office suite (Suite 400) at 901 South MoPac Expressway, Building 3, Fourth Floor, Austin, TX 78746, comprising 6,200 rentable square feet. The lease does not include any non-lease service components that are not separable from the lease component.

§8 — Insurance

The Tenant shall maintain: (a) commercial general liability insurance of not less than \$2,000,000 per occurrence and \$5,000,000 aggregate; (b) property insurance for Tenant's personal property and improvements; and (c) workers' compensation insurance as required by law. All policies shall name the Landlord as additional insured.

§9 — Termination

§9.1 Termination Rights

The **Landlord** may terminate this Lease prior to the Expiry Date upon not less than **six (6) months' prior written notice** to the Tenant. Such notice shall specify the proposed termination date, which shall be no earlier than six (6) months from the date of delivery of such notice. In the event of Landlord-initiated termination pursuant to this §9.1, the Landlord shall pay to the Tenant a termination fee equal to three (3) months' Base Rent then in effect as compensation for relocation costs. **The Tenant shall have no right to terminate this Lease early**, except in the event of material breach by the Landlord as provided in §9.2.

§9.2 Tenant Termination for Cause

The Tenant may terminate this Lease for cause in the event of a material breach by the Landlord (including failure to provide quiet enjoyment or maintain the Premises in habitable condition) that remains uncured for thirty (30) days following written notice specifying the breach.

§10 — Alterations

The Tenant may make cosmetic and non-structural office improvements with prior written consent of the Landlord, which shall not be unreasonably withheld. All improvements shall become the property of the Landlord upon termination unless the Landlord requests removal, in which case the Tenant shall restore the Premises to their original condition.

§11 — Assignment and Subletting

The Tenant shall not assign this Lease or sublet any portion of the Premises without the prior written consent of the Landlord. Consent shall not be unreasonably withheld with respect to assignments to subsidiaries or affiliates of the Tenant with equivalent or superior creditworthiness.

§12 — Default and Remedies

Events of default include: non-payment of rent within five (5) business days of the due date; material breach not cured within thirty (30) days of written notice; abandonment of the Premises; or insolvency of the Tenant. Upon default, the Landlord may exercise all remedies available at law or in equity, including termination of this Lease and recovery of all amounts due.

§13 — Quiet Enjoyment

Provided the Tenant performs all obligations under this Lease, the Landlord covenants that the Tenant shall quietly hold and enjoy the Premises during the Term without interference by the Landlord, subject to inspection rights upon twenty-four (24) hours' prior written notice.

§14 — General Provisions

§14.1 Governing Law

This Lease shall be governed by and construed in accordance with the laws of the **State of Texas**, without giving effect to any choice of law provisions. Any dispute arising out of or relating to this Lease shall be resolved in the courts of Travis County, Texas, or the United States District Court for the Western District of Texas.

This Lease constitutes the entire agreement of the parties with respect to its subject matter and supersedes all prior agreements, representations, and negotiations. This Lease may only be amended by a writing signed by both parties.

§SIGNATURES — Execution

IN WITNESS WHEREOF, the parties have executed this Commercial Office Lease Agreement as of the Commencement Date.

LANDLORD

Austin Tech Campus LLC

Signature: _____

Name: Authorised Manager

Title: _____

Date: January 1, 2025

TENANT

Horizon Software Inc.

Signature: _____

Name: Authorised Officer

Title: _____

Date: January 1, 2025